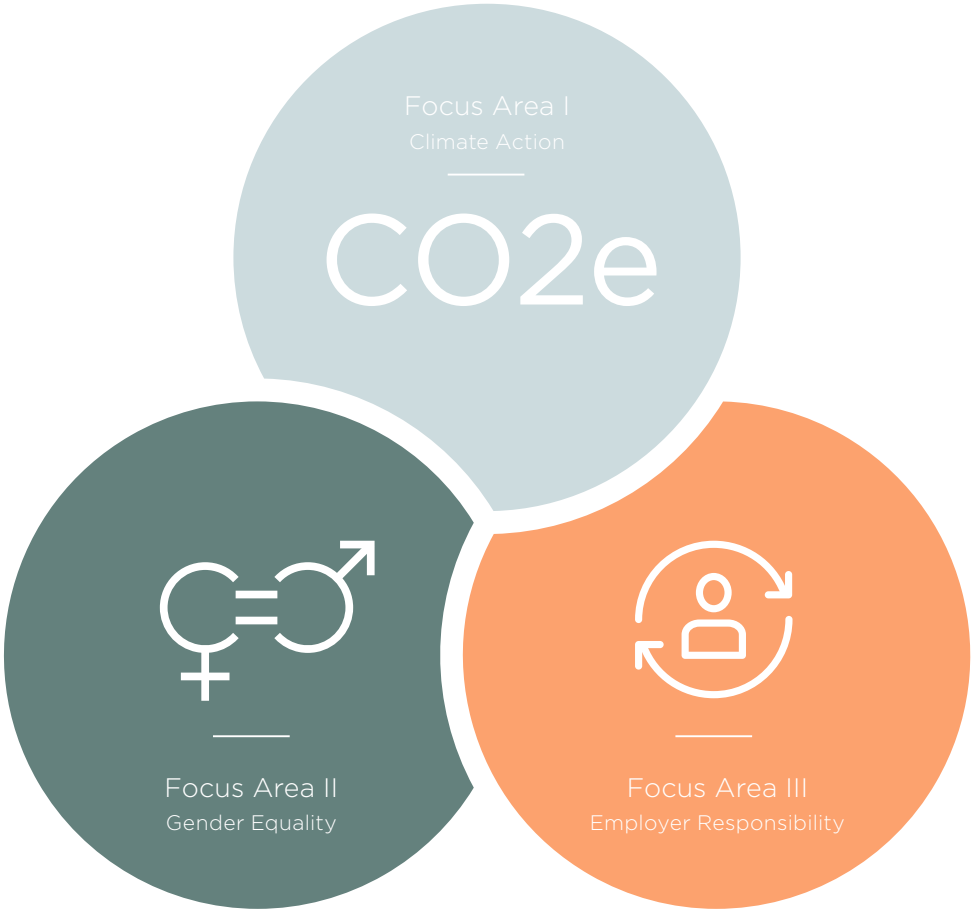




Portfolio company impact on the Sustainable Development Goals - SDGs

Our work with mapping the portfolio companies' impacts, positive as well as negative, to the SDGs is used as a way to prioritize, focus our actions and communicate on progress. As mentioned earlier we have chosen to focus especially on three SDGs that we work with and report on across all portfolio companies: Climate Action, Gender Equality and Employer Responsibility.



Focus Area I: Climate Action in Polaris' portfolio

Our focus on Climate Action is based on measuring and tracking the CO2e emissions of our portfolio companies on an annual basis. By doing this we create transparency and ensure that the footprint of the portfolio companies can be addressed, and our portfolio companies actively can work towards reducing their CO2e through identification and implementation of relevant reduction initiatives. We are encouraging and supporting our companies to set reduction targets in-line with the Paris Agreement through Science Based Targets approved by the Science Based Target Initiative (SBTI)

	Fund IV	Fund V	
CO2e	Scope 1+2	70% (7 of 10)	40% (2 of 5) of portfolio companies have estimated their Scope 1 & 2 baseline
	Scope 3	70% (7 of 10)	40% (2 of 5) of portfolio companies have estimated their Scope 3 baseline
	Science Based Target	0% (0 of 10)	0% (0 of 5) of portfolio companies have set CO2e reduction targets and approved by Board of Directors
	Initiatives	80% (8 of 10)	40% (2 of 5) of portfolio companies have defined CO2e reduction initiatives
	TCFD	60% (3 of 5)	0% (0 of 1) of portfolio companies assessed to have a significant climate exposure have undertaken a TCFD analysis

Climate action

13 CLIMATE ACTION



Table overview of all absolute emissions (tCO2e)

	2019		2020		2021		CO2e intensity 2021
	Scope 1+2	Scope 3	Scope 1+2	Scope 3	Scope 1+2	Scope 3	(gCO2e/ DKK revenue)
Polaris Fund IV							
Triax ¹	-	-	-	-	-	-	-
Configit	202	923	202	461	155	577	5,6
Akademikliniken	123	4.587	121	4.587	109	4.185	12,6
MENU ²	-	-	163	-	149	18.016	54,8
RelyOn Nutech ²	-	-	5.154	-	5.396	1.411	10,4
Futur Pension	-	-	41	204	37	77	0,2
SSG	-	-	4.319	5.047	4.150	4.852	9,9
Link Logistics	60	8.158	70	7.819	191	39.387	47,1
Distriktstandvården ¹	-	-	-	-	-	-	-
Vikingbus ¹	-	-	-	-	-	-	-
Total Fund IV ³ incl. additional portfolio companies	386	13.668	10.071	18.117	10.186	68.506	21,1
Using Market Based Scope 2 emissions					10.229		
Polaris Fund V							
Contour	-	-	134	4.499	123	4.941	18,4
Sinful	-	-	120	4.027	123	4.848	12,7
North ¹	-	-	-	-	-	-	-
Stronger ¹	-	-	-	-	-	-	-
G&O Maritime Group ¹	-	-	-	-	-	-	-
Total Fund V ³ incl. additional portfolio companies	-	-	254	8.525	246	9.788	15,1
Using Market Based Scope 2 emissions					342		
TOTAL PORTFOLIO ³	386	13.668	10.325	26.642	10.432	78.294	20,2
Using Market Based Scope 2 emissions					10.571		

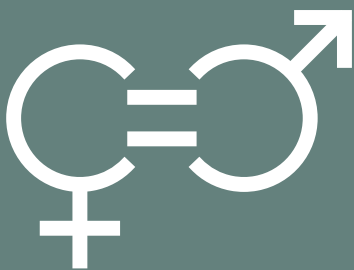
In 2021, our companies continued to work with addressing climate change. As many broaden the scope of their measurements, it makes it difficult to follow-up the development on a portfolio level and often also to follow-up on the performance of a single company. These continuous improvements should be expected and are necessary to enable the companies to better understand and address their emissions properly. We continue to believe in the benefits of our detailed bottom-up approach to CO2e measurement as we believe that this is the best foundation for understanding your emissions and be

able to identify the right reduction measures. Targets for the emission reductions should be set in-line with the Paris Agreement and we encourage and support our portfolio companies to set science-based targets approved by the Science Based Target Initiative. A few companies already started this process in 2021 and we expect several companies to get science-based targets approved during 2022. We recognize that it is a large effort for a company to seriously address climate and this might take some time to establish. We at Polaris do what we can to support our portfolio companies on this journey.

1) Company has not yet measured their carbon footprint
2) MENU and RelyOn Nutech only started to include Scope 3 categories in 2021
3) Includes Location Based Scope 2 emissions

Focus Area II: Gender Equality in Polaris' portfolio

With Gender Equality as a focus area for our work, the share of women on board, management and employee level has been chosen as a cross-portfolio KPI for Polaris. Thus, all portfolio companies are reporting annually on the gender balance across their organization and Polaris will report on this KPI for the portfolio as a whole. The metric measured is share of women across the portfolio companies, and the work is focused on ensuring a balanced workforce and increase the share of the underrepresented gender.

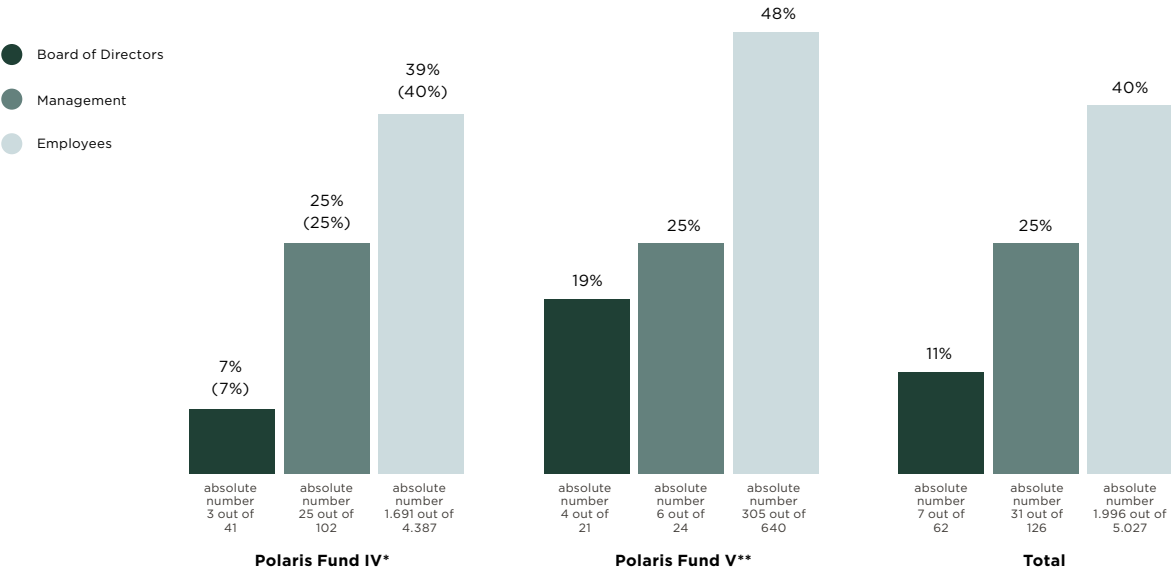


	Fund IV	Fund V	
Tracking	100% <i>(10 of 10)</i>	100% <i>(5 of 5)</i>	of portfolio companies are tracking on gender diversity
Strategy & targets	30% <i>(3 of 10)</i>	20% <i>(1 of 5)</i>	of portfolio companies have defined a strategy and targets to ensure Gender Equality
Initiatives	60% <i>(6 of 10)</i>	20% <i>(1 of 5)</i>	of portfolio companies have defined and initiated initiatives to strengthen Gender Equality

Gender equality



Share of women across portfolio - Year end 2021 (2020)



We expect our portfolio companies to promote gender equality and, as part of Polaris Sustainability Program, formulate initiatives to secure a balanced gender distribution. Our ambition is to reach a 40/60 gender balance across our portfolio for management teams and boards over time. As we follow up on the gender distribution among our companies' Board of Directors, management teams and employees, we can see the companies overall are close to 40% women in staff but that is not reflected in the management teams and Board of Directors. At the board level, we at Polaris continue our effort to expand our network of female professionals for potential board and management team positions through our co-operations with the Danish board network Bestyrelseskvinder ("Board Women"). In 2021, this co-operation led to the

recruitment of the chair person for Sinful, one of our new portfolio companies. We will continue to work to broaden our network of female professionals to improve our recruitment base. At the portfolio level, all companies now report on gender distribution and many have initiatives in-place to improve. We expect more to follow as we are onboarding our portfolio companies into Polaris Sustainability Program. Our focus on Gender Equality throughout Polaris drives focus and transparency on this important topic and helps drive change but we acknowledge that we still have a long way to go. In the future, we will work to transfer best practices between our portfolio companies and ensure they all have actions plans which are approved and followed up by the board of directors.

* Vikingbus was acquired in 2021 and is not included in the 2020 numbers
** All companies in Polaris Fund V were acquired in 2021

The Sustainable Development Goals

Polaris Management’s contribution to the SDGs

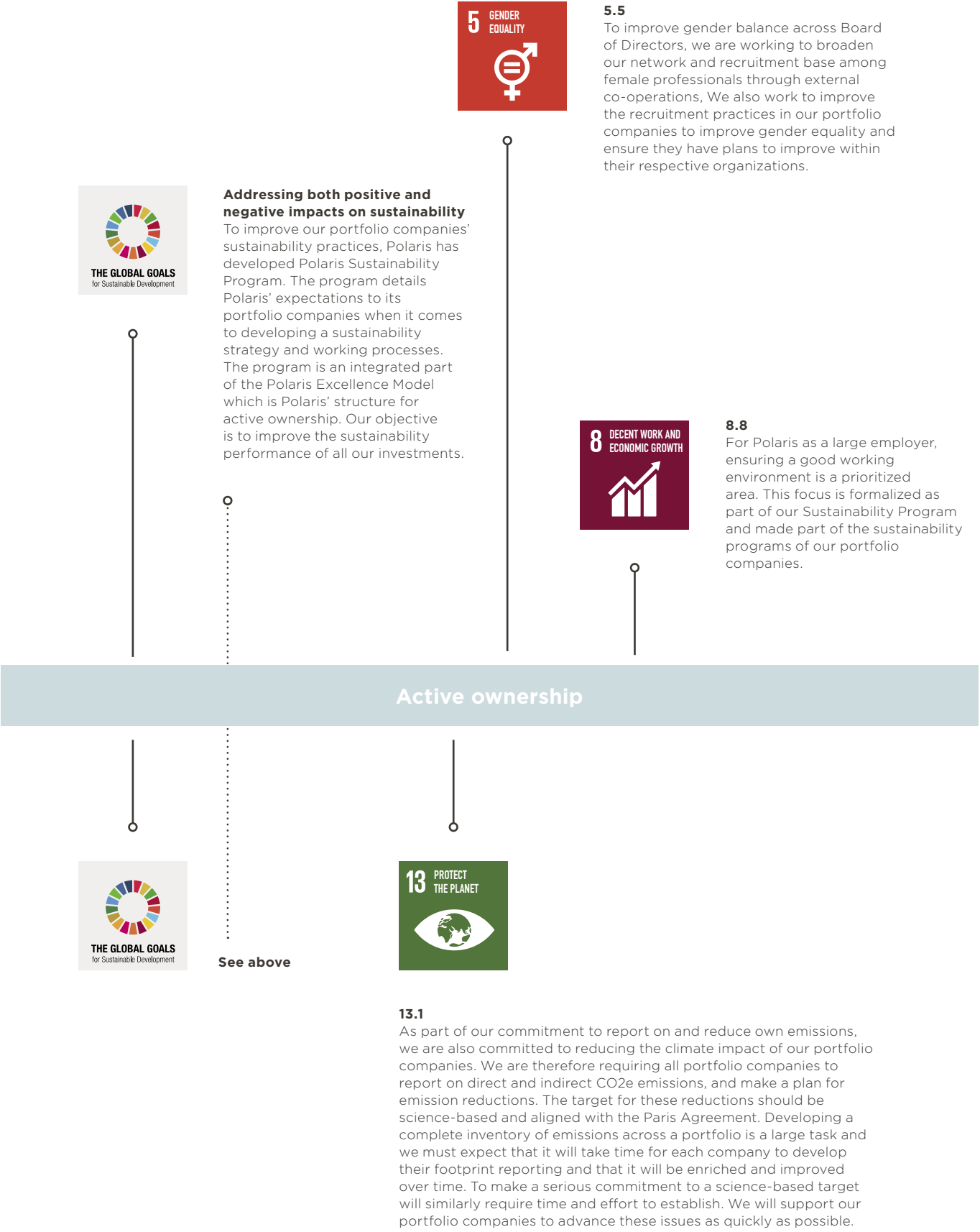
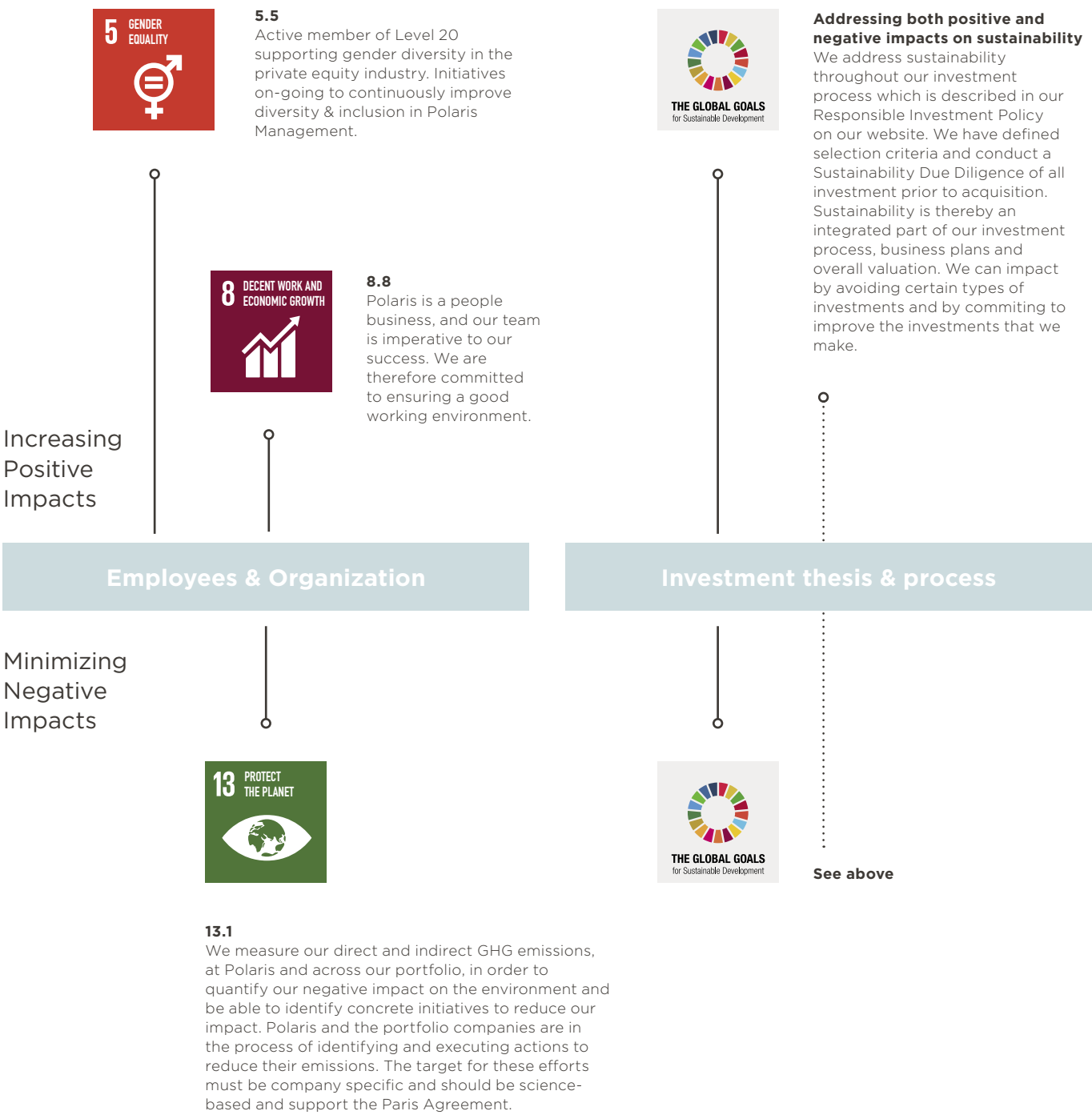




Table overview of all absolute emissions (tCO2e)

	2019			2020			2020		
	Scope 1	Scope 2	Scope 3	Scope 1	Scope 2	Scope 3	Scope 1	Scope 2	Scope 3
Polaris Fund IV									
Triax ¹	-	-	-	-	-	-	-	-	-
Configit	0	202	923	0	202	461	0	155	577
Akademikliniken	6	118	4.587	5	116	4.587	4	105	4.185
MENU ²	-	-	-	82	81	n.a.	80	69	18.016
RelyOn Nutec ²	-	-	-	3.397	1.757	0	3.108	2.288	1.411
Futur Pension	-	-	-	26	15	204	27	10	77
SSG	-	-	-	3.878	441	5.047	3.814	336	4.852
Link Logistics	27	33	8.158	19	52	7.819	126	65	39.387
Distriktstandvården ¹	-	-	-	-	-	-	-	-	-
Vikingbus ¹	-	-	-	-	-	-	-	-	-
Total Fund IV ³	33	353	13.668	7.407	2.664	18.117	7.160	3.027	68.506
Using Market Based Scope 2 emissions							3.069		
Polaris Fund V									
Contour	-	-	-	72	62	4.499	62	61	4.941
Sinful	-	-	-	0	120	4.027	0	123	4.848
North ¹	-	-	-	-	-	-	-	-	-
Stronger ¹	-	-	-	-	-	-	-	-	-
G&O Maritime Group ¹	-	-	-	-	-	-	-	-	-
Total Fund V ³	0	0	0	72	182	8.525	62	184	9.788
Using Market Based Scope 2 emissions							279		
TOTAL PORTFOLIO ³									
Using Market Based Scope 2 emissions									
Polaris Management A/S									
TOTAL POLARIS ³									
Using Market Based Scope 2 emissions							3.370		

1) Company has not yet measured their carbon footprint
2) MENU and RelyOn Nutec only started to include Scope 3 categories in 2021
3) Includes Location Based Scope 2 emissions

The Sustainable Development Goals

Polaris Management’s contribution to the SDGs

INCREASING POSITIVE IMPACTS

Concrete initiatives in progress



Employee & organization

- Work to support gender equality in the private equity industry in Denmark, Sweden, and Europe
- Ensure a working environment supporting gender equality at Polaris Management

Active ownership

- Ensure initiatives to improve gender equality in Polaris’ portfolio companies
- Expand Polaris’ female network and recruitment base for projects, board, and management team positions



Employees & Organization

- Initiative to support employee health
- Process to foster culture of feedback and personal development

Active ownership

- Ensure initiatives to improve working environment in Polaris’ portfolio companies



Investment thesis & process

- Integrate sustainability in Polaris’ investment process

Active ownership

- Ensure sustainability program that addresses relevant risks and opportunities are available in Polaris’ Portfolio companies

Status on initiatives

Employees & organization

- During 2021, we took an active role in Level 20 in Denmark where we arranged presentations and training programs to attract female students to private equity. As members of the International Committee, we also contribute to this agenda on a European level.
- The new parental leave policy was introduced and two male members of the investment team utilized this opportunity during 2021. We also included Diversity & Inclusion questions in our new Employee Satisfaction survey

Active ownership

- For the 2nd year we follow-up on gender distribution and plans for gender equality in our portfolio companies and this topic was made part of the agenda in two of our new portfolio companies during 2021.
- Our collaboration continued with the female board network “Bestyrelseskvinder” and our efforts in 2020 resulted in the recruitment of a female chairperson to one of our new portfolio companies.

Employees & organization

- We conducted a detailed survey of our physical working conditions and are following up the results (APV/ Arbejdspilsvurdering)
- Extended annual review and 360-degree feedback process implemented with support by new HR system EmPLY. During 2021, we extended our feedback systems to include project assessments during the year and a new Employee Satisfaction survey will be conducted annually with supplementary “Pulse checks” during the year

Active ownership

- With working environment as one of our sustainability focus areas, we included this topic of the board agenda of two of our newly acquired companies

Investment thesis & process

- Our expanded Sustainability Due Diligence standard was an integrated part of the evaluation processes preceding the four investments evaluated and signed in 2021

Active ownership

- Polaris Sustainability Program, which is part of our Excellence Model, was rolled out in two of our new portfolio companies during the year and plans were made to add four additional companies during 2022.

MINIMIZING NEGATIVE IMPACTS

Concrete initiatives in progress



Employees & Organization

- Implement initiatives to reduce climate impact in Polaris Management based on calculations of CO2e emissions

Active ownership

- Ensure initiatives to reduce climate impact in Polaris’ portfolio companies based on calculations of CO2e emissions



Investment thesis & process

- See “Increasing Positive Impacts”

Status on initiatives

Employees & Organization

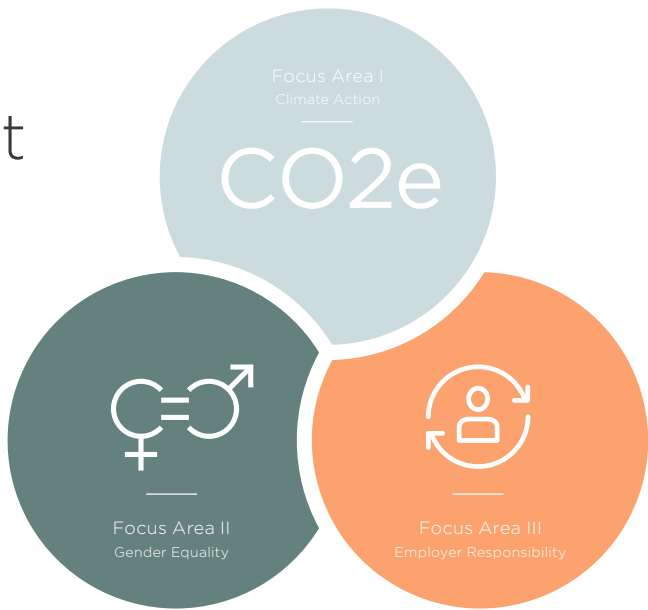
- Emissions from travel were kept at a low level compared to 2019 (13 tCO2e vs. 89 tCO2e) despite the lifting of Covid-related restrictions as we are now structurally leveraging a significantly higher proportion of digital meetings. We expect this to continue. During 2022, we will reach out to our advisors as they constitute around 75% of our emissions.

Active Ownership

- We continue to implement the measurement of CO2e emissions in our portfolio companies on Scope 1,2 and 3. In 2021, two new companies completed their measurement and two of our legacy companies completed their first part of their Scope 3 assessment. In addition, three portfolio companies were actively preparing to submit their application for validation of their science-based targets by the SBTi

- See “Increasing Positive Impacts”

CO2e accounting in Polaris Management and its portfolio



Our efforts of calculating CO2e baselines were initiated in 2020 and 2019 has therefore generally been selected as the base year across-portfolio companies. However, due to variances in data availability among the portfolio companies, for some selected companies either the full baseline or the Scope 3 baseline has 2020 as a base year. In this report, two of our new companies acquired in 2021 are included; Sinful and Contour. For these two companies, the CO2e baselines have been calculated for both year 2020 and 2021.

Boundary setting and consolidation approach

For the organizational boundary setting, Polaris uses the Operational Control approach. We do this because our investment strategy typically includes us taking majority ownership (table 1). In doing so we acknowledge that we as majority shareholders have the mandate to introduce and implement operating policies in our portfolio companies, and we therefore also take full responsibility for the emissions thereof in our CO2e baseline.

Consequently, when consolidating CO2e emissions, in addition to Polaris Management’s emissions, we account for our portfolio companies’ Scope 1 emissions in our own Scope 1 baseline, their Scope 2 emissions in our Scope 2 baseline and their Scope 3 emissions in our Scope 3 baseline. Although we do not have majority ownership in all portfolio companies, consolidation approach is taken for all portfolio companies, acknowledging the influence we have across all the companies, nonetheless. While emissions are consolidated across-portfolio

companies to estimate the full Polaris emissions (including Polaris Management and all portfolio companies), we acknowledge that the baselines individually are not directly comparable. The companies in our portfolio vary greatly with respect to complexity, both with regard to the type of operations, but also with regards to procurement and reporting being more decentralized in some companies compared to others. This means that the data available for some companies may not be as readily available for others, why the same activity may have been estimated with a different calculation method across-portfolio companies, or may not have been included in the base year for some companies due to lack of available data.

While our portfolio companies have defined their own organizational boundaries, to ensure it reflects their operations and business model, all companies have selected the operational control approach. Polaris Management and all portfolio companies included in this report have gone through all the Scopes and categories of the GHG Protocol and assessed their relevance and feasibility based on the principles of relevance, completeness, accuracy, consistency, and transparency. Categories that have been excluded are described in table 2 for Polaris Management. Similar tables for each portfolio company can be found in the Appendix of this report.

Table 1

Equity share of portfolio companies

Fund IV companies	Equity share	Included in portfolio CO2e calculation 2021
Triax	47%	No
Configit	59%	Yes
Akademikliniken	57%	Yes
MENU	58%	Yes
RelyOn nutec	94%	Yes
FuturPension	24%	Yes
SSG	76%	Yes
Link Logistics	63%	Yes
Distriktstandvården	43%	No
Vikingbus	52%	No
Fund V companies		
Contour	70%	Yes
Sinful	57%	Yes
North	53%	No
Stronger	26%	No
G&O Maritime Group	73%	No

Table 2

Categories not included in the Scope

Polaris Management (excl. portfolio companies)

2. Capital Goods	Polaris Management has not made any CAPEX investments.
4. Upstream transportation	Category assumed negligible, as Polaris Management purchases few goods.
8. Upstream leased assets	Since Operational Control approach is selected, emissions related to our leased assets are accounted for in Scope 1 and Scope 2.
9. Downstream transportation	Not relevant given Polaris Management’s business model.
10. Processing of sold units	Not relevant as Polaris Management does not sell any intermediary goods.
11. Use of sold products	Polaris Management does not sell any physical products.
12. End-of-life treatment of sold products	Polaris Management does not sell any physical products.
13. Downstream leased assets	Polaris Management does not lease out assets.
14. Franchises	Not relevant as Polaris Management has no franchises.

Calculation methods

CO2e emissions have been calculated through a combination of calculation approaches, hereunder the activity-based method (based on activity data such as total weight of a product, total passenger-kilometers flown or other relevant metrics), the spend-based method (based on spend on a specific activity or category) and the supplier-specific method (based on actual emissions per SKU or supplier provided data).

Each baselining process has been initiated with establishing a spend-based baseline, which has been used to prioritize further data collection efforts with the aim of increasing accuracy through moving towards more detailed calculation methods.

Data has been extracted from Polaris Management's and our portfolio companies' ERP-systems, invoices and collected from key suppliers when relevant (especially purchased energy services, logistics services, waste management services etc.). Where data for applying these methods have not been available, emissions for selected categories have been estimated based on proxy data. For example, for selected portfolio companies, where actual energy consumption was not available, the energy consumption has been estimated based on the size of facilities and average annual national energy consumption per square meter for a specific facility type (such as office spaces).

Similarly, emissions from employee commuting have been based on central assumptions, publicly available data on local commuting patterns and in some cases on company specific employee survey data.

CO2e intensity is calculated based on revenue when consolidating the baseline across-portfolio companies or otherwise in accordance with industry standards on portfolio company level to allow for comparisons against competition to the greatest extent possible – knowing that a complete “apples to apples” comparison is not possible due to differences in especially Scope 3 coverage and methodology between different companies.

CO2e intensity and totals are calculated as the total of Scope 1, Scope 2 (location-based) and Scope 3 emissions. Polaris has chosen the location-based approach as the main approach in alignment with the GHG Protocol's guidance. If any companies purchase energy attribute certificates it will be accounted for in the market-based emission calculations, which is also communicated in this report in alignment with the dual Scope 2 reporting requirement.

Emission reduction and governance

For each portfolio company the baselining process has been concluded with the development of a CO2e road map. We acknowledge that this is only our second year for estimating the CO2e baseline, and that there will be some uncertainties and gaps in the baseline due to lack of sufficient data. We strive to have more and more complete and accurate GHG inventories over time, and so, for both Polaris Management and each portfolio company the roadmap includes plans for improving the breadth and depth of the data gathered in the coming years. This includes integrating categories that have been deemed to be significant in terms of the size of emissions, but where sufficient data is not yet available.

Further, the road maps include a plan for the initiatives that are to be launched to reduce CO2e emissions. At Polaris we request that the road map, together with the baseline itself, is approved by the Board of Directors of the portfolio company to ensure commitment to and accountability of the efforts planed. In some cases the portfolio companies have set specific reduction targets while the target setting efforts in other companies are still in progress. The work with setting emission reduction targets were expected to be finalized by end of 2021 for all companies. Nonetheless, some companies due have targets outstanding, and we will work to have targets for all companies by 2022. The initiatives for emission reductions will be part of each portfolio company's sustainability roadmap and progress on the reduction targets will be reviewed annually by the Board of Directors.

Location vs. Market based approach:

- Scope 2 (location-based) approach is calculated based on average emission factors for each country
- Scope 2 (market-based) approach takes the green power purchased into account and assumes that the non-green power is delivered as residual power where the green part has been taken out

Sustainability KPI identification

Three core sustainability KPIs have been selected and will be reported on across all portfolio following SASB standard reporting practices – as described in section 1 of this report. These include:

- **CO2e emissions**, both total emissions and intensities based on revenue or otherwise in accordance with the industry standards of our portfolio companies
- **Share of women across levels** in the organizations, hereunder the ‘Board of Directors’, ‘Management’ (employees that are part of the top executive management team of the company and report directly to the CEO) and ‘All employees’ (all employees in the entity not including management). The reported figures are as of the end of the reporting period, unless there has been a material change during the reporting period. If so the average over the reporting period, will be the reported figure and a note has been made
- **Employee-initiated turnover**, calculated as the total number of employee-initiated separations (e.g., resignation and retirement) during the reporting period, divided by the average number of workers during the reporting period

Emission factors

Emission factors have been collected via supplier specific environmental product declarations (EPDs), research-based Life-Cycle-Analyses (LCAs), from the UK Department for Environment, Food & Rural Affairs (DEFRA), International Energy Agency (IEA) or otherwise known and qualified emission factor databases. To the extent possible we have gathered multiple datapoints for each emission factor to validate the sources used.

When working with the spend-based DEFRA database the following steps have been taken to adjust for VAT, inflation (since the DEFRA database is from 2011) and currency: 1. Exclude VAT from the DEFRA factor, 2. Converyed from GBP to local currency (exchange rate in the year of the emissions factor) and 3. Adjust for inflation based on local inflation rates.

For Scope 2 electricity calculations, for Danish electricity consumption we have used Energinet's (the Danish Transmission System Operator) emission factor based on consumed electricity from the grid, while we for all other countries have used IEA's database and emission factors for produced electricity within the respective countries. The decision to select a more accurate emission factor for Denmark is driven by the fact that most portfolio companies have facilities located in Denmark, and as such we see it as a means to improve the accuracy of the GHG inventory across the portfolio.

Recalculation policy

At Polaris we recognise that we will continuously improve our understanding of our emissions and we will over time both refine and adjust our Scope and calculation method to increase the accuracy of our calculations and in turn our CO2e baseline. Furthermore, given the nature of our operations, the composition of our portfolio will change over time as new companies are acquired and current companies are exited. As such, we have defined a recalculation policy in line with the GHG Protocol.

The Recalculation Policy states that, in the case of structural changes, for example, acquisitions, divestments, mergers, outsourcing or insourcing, we will clearly indicate in the report added or subtracted parts of the baseline, which can then not be used for year-on-year comparisons. The same applies to the inclusion of more Scope 3 categories. In the case of methodological change, for example, a change in emission factors, data accuracy, discovery of a significant error (or similarly, a number of cumulative errors that collectively have a significant impact on the CO2e baseline), it will trigger a recalculation of the previous 2-3 years to ensure CO2e baselines are comparable over time. Where either Polaris Management or any of our portfolio companies have defined CO2e reduction targets from a given base year, we will recalculate the base year if either a structural or methodological change impacts our baseline. This is in order to ensure true and fair comparison of our CO2e emission reduction progress.

THE SUSTAINABILITY ACCOUNTING STANDARDS BOARD’S (SASB) MATERIALITY MAP

is based on studies of 77 industries and more than 4000 cases to identify relevant disclosure topics across different industries and sectors.

To ensure that we measure sustainability in a manner that is material, manageable and relevant to the individual portfolio company, and acknowledging that our portfolio is very diverse, each company has furthermore gone through a process of selecting three additional sustainability KPIs that are specific for their company.

A key priority during this process has been to ensure relevance and materiality in the KPIs selected based on the industry of the specific portfolio company. To ensure this, the KPI selection process has taken point of departure in SASB’s materiality map.

The SASB materiality map has been chosen as the starting point for this process since it is a broadly accepted and research-based standard to guide the disclosure of financially material sustainability information by companies to their investors. The approach is focused on identifying quantitative and qualitative measures that are likely to impact a company’s financial performance and at the same time provides an industry-specific lens in recognition of the fact that the issues most likely to impact financial performance vary by industry. Relying on the SASB standard therefore provide us with the evidence-based and market-informed material sustainability measures we are looking for, but also help us increase sustainability transparency towards our investors and future owners of our portfolio companies.

For the majority of the portfolio companies it has been necessary to adapt some of the SASB KPIs to better reflect the reality of their operations and adjust the KPIs to a Nordic context rather than the American context in which the SASB materiality map is originally developed. Whenever a KPI has been adapted it is indicated which original SASB KPI the KPI is built upon and a reference is made to the appropriate SASB code.

At this point in our sustainability journey, we have decided to not report on all SASB KPIs. Rather we use the map as a starting point for each portfolio company to identify the three most material sustainability KPIs to ensure this effort is manageable for the companies acknowledging that this is a new area of reporting for the majority of our companies.

All portfolio companies have been tasked with setting targets for the cross-portfolio sustainability KPIs as well as for the company-specific KPIs. Some portfolio companies have completed this process already while other are still in the process of developing the initiatives associated with their efforts to improve on the KPIs, why target setting is still an ongoing process. The companies who are still in the process of setting targets are expected to have finalized the process by end of 2022. In addition to three company-specific KPIs that must be aligned with SASB, each portfolio company has selected three company-specific KPIs and/or initiatives that they see as an integral part of their sustainability efforts. Some portfolio companies have chosen to lean against the SASB materiality map framework, though this has not been a requirement. While others have chosen KPIs or more qualitative descriptions of initiatives central to their sustainability efforts not covered by SASB.



BUSINESS REPORTING ON THE SDGs: AN ANALYSIS OF GOALS AND TARGETS

is a report developed in a partnership between Global Reporting Initiative (GRI) and the UN Global Compact with technical and strategic support provided by PwC. The report consolidates guidance on how businesses can contribute to the SDGs by providing an illustrative list of possible actions that businesses can take to make progress towards the individual sub-targets.

Our contribution to the UN Sustainable Development Goals

In Polaris we believe that the UN Sustainable Development Goals (SDGs) provide a strong framework for our work with sustainability. We use the SDGs as a way of creating transparency around our positive and negative impacts and how we are working with these. All portfolio companies have gone through a process to identify their significant contributions to the SDGs. In this process both positive and negative impacts have been identified and discussed. It has been of high importance that the approach to working with the SDGs is as realistic, holistic and transparent as possible. We also want to ensure that we do not only focus on and work towards increasing our positive impacts, but have an equally strong focus on minimizing our negative impacts and being transparent in how we work towards doing so.

We are taking a conservative approach to working with the SDGs, meaning that what we focus on and work with is our material impact. Therefore we have encouraged our portfolio companies to rather focus on fewer SDGs and work more in depth with the areas of material impact, than falling for the temptation to claim positive impacts across a wide range of SDGs.

It is very important for us to be clear about the fact that we and our portfolio companies are not fundamentally changing the world, but that we are nonetheless taking responsibility for our negative impacts. We are focused on ensuring businesses are run in a sustainable way – both internally and externally. This realization is important and necessary for us and the portfolio companies to focus our efforts on the areas where we can achieve real impact and where it matters the most.

In order to link our work with the SDGs to actual initiatives and actions to the greatest extent possible, we have based our approach on Global Reporting Initiative’s (GRI) “Business Reporting on the SDGs: An Analysis of Goals and Targets”. As a consequence, the portfolio companies have addressed the sub-target level of the SDGs in their work. For the selected sub-targets we have assessed the associated business actions of the sub-targets in order to identify where the companies can have a real impact in line with these.

For each identified area of material impact we have identified the associated concrete initiatives that the portfolio companies have launched or will launch to increase their positive impacts or minimize their negative impacts. These initiatives have been sequenced and included in the sustainability road map for the portfolio company, which is approved by the individual Board of Directors. Impact tracking on the initiatives will be followed up upon in the Board meetings and status on the initiatives will be included in this annual sustainability report.